allowed to adopt what came to be known as the household responsibility system. Peasant households leased land from local governments for growing crops, entering into a contract for supplying a designated quantity of output to the state. (Note: Land throughout China remains the property of the state but may be leased for a consideration for a range of economic uses.) The balance of produce could be kept for use by the household and any surplus could be sold in the market for profit. This led to a significant increase in agricultural output and in the diversification of crops. A parallel initiative encouraged the setting up of local township enterprises, based on local raw materials, which too could be sold in the market. These initiatives also released labour for absorption in the now expanding urban industrial centres. Deng legitimized these new policies by arguing that markets were not antithetical to socialism, that they could advance prosperity in a socialist economy. This is how the concept of a socialist market economy became current.

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The most successful economic reforms involved the setting up of SEZs in the southern coastal provinces of Guangdong and Fujian. It helped politically that the investors in these SEZs were mostly overseas Chinese with kinship links to the local people. In Fujian, there were deep-seated kinship links among the people with overseas Chinese businesspersons now resident in Taiwan, Singapore, Hong Kong and Macau, popularly known as ‘Greater China’. In the initial stages of Chinese reforms, the role played by the Chinese diaspora was critical. Both Guangdong and Fujian were given special authority to offer various concessions and incentives to attract foreign investment. For the first time, they could lease land to investors for periods extending from thirty to fifty years in the designated SEZs.

The central government allowed the setting up of these SEZs initially in the early 1980s, in Shenzhen, Zhuhai, Foshan and Shekou in the Guangdong Bay area adjacent to Hong Kong and Macau, from where capital and technology could be conveniently accessed. In Fujian, the port city of Xiamen was accorded the same privileges. During this initial phase,